

TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at [Court Reporter Services | Superior Court of California | County of Orange](#).

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at [Civil Remote Hearings | Superior Court of California | County of Orange](#) prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS

9/24/2026

2:00 PM

100	Easley vs. Paradise Dynasty LLC 2022-01291762	Final Accounting The settlement administrator, Simpluris, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator’s work is complete, the Court’s file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
101	Moreno vs. Beacon Day School, Inc. 2022-01296662	Final Accounting The court finds all settlement distribution efforts are fully concluded. The administrator’s final report (ROA 139) is thus approved, and the court’s file is closed. Plaintiff to give notice of the court’s ruling, including to the LWDA, within five (5) calendar days, and file proof of service. Plaintiff to also file proof of service of ROA 139 on the LWDA.
102	Ortiz vs. Acrisure of California, LLC 2023-01365781	Final Accounting The settlement administrator, Phoenix Settlement Administrators, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator’s work is complete, the Court’s file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.

103	Rosales vs. Harbor Distributing, L.L.C. 2023-01300842	1. Final Accounting 2. Order to Show Cause re: Monetary Sanctions The settlement administrator, Atticus Administration, LLC, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. Thus, Plaintiffs have shown that the administrator's work is complete. The Court also finds that counsel has provided substantial justification for failure to comply with the Court's 7/24/2025 order. (See ROA #176.) Therefore, the Court VACATES the OSC re Monetary Sanctions. Accordingly, the Court's file may now be closed. Plaintiffs are ordered to give notice of this ruling to Defendant.
104	Young vs. LOS ALAMITOS FISH COMPANY, A CALIFORNIA LIMITED PARTNERSHIP 2020-01176500	Final Accounting The settlement administrator, ILYM Group, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
105	Magnia vs. G & C Staffing LLC, a California limited liability company 2024-01445748	Case Management Conference

106	Gomez vs. Black Lion Farms, LLC, a California limited liability company 2024-01418681	1. Petition to Compel Arbitration 2. Case Management Conference Defendants’ unopposed Motion to Compel Arbitration is GRANTED. Plaintiff is ordered to arbitrate his individual claims. The class claims are dismissed without prejudice. The case is otherwise stayed pending the outcome of arbitration. An ADR Review hearing is scheduled for May 20, 2027, at 2PM in Department CX102. The parties are ordered to file a joint status conference report at least 16 court days prior to the hearing. <u>Existence of Agreement to Arbitrate</u> The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. Little v. Pullman (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. Id. While the burden of persuasion is always on the moving party, the burden of production may shift in a three-step process. First, the moving party must present “prima facie evidence of a written agreement to arbitrate the controversy”, which is satisfied by attaching a copy of the arbitration agreement purporting to bear the opposing party's signature. Gamboa v. Ne. Cmty. Clinic (2021) 72 Cal. App. 5th 158, 164–67. If the moving party meets its initial prima facie burden, and the opposing party disputes the agreement, then the burden shifts to the opposing party to challenge the authenticity of the agreement. Finally, in the third step, the moving party must present admissible evidence of a valid arbitration agreement between the parties by a preponderance of the evidence. Gamboa, supra, 72 Cal. App. 5th at 164–67. Defendants have met their initial burden of demonstrating the existence of an arbitration agreement between the parties. Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413; Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972. Defendant presents evidence, through its Senior Director of Human Resources of Gold Flora Corporation and its subsidiaries, including Black Lion Farms, LLC, Josie Smith, that plaintiff electronically signed the “{Black Lion Farms, LLC.} ARBITRATION AGREEMENT” (the “Agreement”) on 08-09-2023. ROA 42 Exs. 1-2. Since defendants satisfied the initial burden of demonstrating that a valid arbitration agreement exists, the burden shifts to plaintiff to challenge the authenticity of the agreement. Plaintiff makes no such challenge. The court therefore finds an agreement to arbitrate exists.
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Relevant Terms

The Agreement provides for the mutual agreement to arbitrate “any controversy or claim arising out of or relating to your employment relationship with Black Lion Farms, LLC. or the termination of that relationship, except those claims specifically excluded from arbitration by federal and state law...” ROA 42 Ex. 2 ¶ 1. The Agreement contains express class and representative action waivers. Id. ¶ 1(g).

The court finds the Agreement covers the claims asserted by plaintiff.

Federal Arbitration Act

Defendant has presented undisputed evidence it is engaged in interstate commerce. ROA 42 ¶ 14. Plaintiff’s lack of opposition concedes the issue. The court thus finds the FAA applies.

Enforceability

In *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, the California Supreme Court recognized that notwithstanding the strong public policy favoring arbitration, “‘generally applicable contract defenses, such as . . . unconscionability, may be applied to invalidate arbitration agreements without contravening’ the FAA’ or California law.” Id. at 125; accord *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.

“Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] ‘The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.’ [Citation.] If the contract is adhesive, the court must then determine whether ‘other factors are present which, under established legal rules—legislative or judicial—operate to render it [unenforceable].’” *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113. 113.

To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; see also *OTO, L.L.C.*, supra, 8 Cal.5th at 129-30. “[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” *Armendariz*, supra, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate that the arbitration agreement is procedurally and substantively unconscionable. *Sanchez v. Carmax Auto Superstores California, LLC* (2014) 224 Cal.App.4th 398, 402.

		The Agreement provides it “is a condition of employment.” ROA 42 Ex. 2 ¶ 1. The evidence thus weighs in favor of finding the Agreement is a contract of adhesion and is thus procedurally unconscionable. Sanchez v. Carmax Auto Superstores California, LLC (2014) 224 Cal.App.4th 398. However, the fact that an agreement is adhesive is not, by itself, sufficient to render it unenforceable. Malone v. Superior Court (2014) 226 Cal.App.4th 1551, 1561; Samaniego v. Empire Today, LLC (2012) 205 Cal.App.4th 1138, 1145 (procedural unconscionability presumptively low absent evidence the defendant actively interfered with plaintiff’s ability to review and understand the arbitration clause). Irrespective of any degree of procedural unconscionability, however, the Agreement is fully enforceable on its terms because the court finds it is not substantively unconscionable in any respect. Accordingly, plaintiff is ordered to arbitrate his individual claims against defendant. It is well settled that class action waivers are enforceable, as here, in arbitration agreements governed by the FAA. Epic Systems Corp. v. Lewis (2018) 138 S. Ct. 1612, 1616; Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal. 4th 348, 364. Under the FAA, when an arbitration agreement does not authorize class arbitration of disputes, case law provides for the dismissal without prejudice of the class claims. Epic Systems Corp. v. Lewis (2018) 138 S.Ct. 1612; Stolt-Nielsen S.A. v. AnimalFeeds Int’l Corp. (2010) 559 U.S. 662, 686; Kinecta Alternative Financial Solutions, Inc. v. Superior Court (2012) 205 Cal.App.4th 506, 510-511. Both the FAA and California law provide for a stay of proceedings pending the outcome of arbitration. 9 U.S.C. § 3; Code Civ. Proc., § 1281.4. Defendants to give notice.
107	Kornievsky vs. Smith Linden & Basso, LLP 2013-00635667	1. Motion for Discovery Sanctions (ROA 2359) 2. Motion to Compel Production (ROA 2363) Defendants Smith Linden & Basso, LLP; Allen L. Basso; and Allen A. Basso (“Basso Defendants”)’s Motion to Compel Plaintiffs Further Responses to Requests for Production of Documents, Set One is GRANTED IN PART and DENIED IN PART. The parties previously participated in an Informal Discovery Conference (IDC) before this Court on 3/27/2026. After the IDC, the Court issued the following minute order, in relevant part: The Court reviewed the parties joint IDC statement and met with the parties. The instant discovery dispute involves Plaintiffs’ RFPs and Defendants’ (Allen Basso and SLB) RFPs, ROGs and RFAs. The Court explained its view that the discovery at issue was permissible and reasonably calculated to lead to admissible

evidence. The Court also regarded the objections tendered as boilerplate such that both sides should supplement existing responses. The parties agreed such that (1) Defendants will complete their supplemental production of documents by April 3rd; and (2) Plaintiffs will provide supplemental responses by April 6th. To the extent either side is withholding documents due to objections or privilege, a “privilege log” will be delivered along with the supplemental responses.

(ROA #2275.)

On 4/6/2026, Plaintiffs served supplemental responses to the RFPs, which the Basso Defendants contend are still deficient. The Basso Defendants also contend that Plaintiffs never produced any additional documents or a privilege log.

After attempting to meet and confer with Plaintiffs in May 2026, on 6/25/2026, the Basso Defendants ultimately filed the instant motion to compel further responses, documents, and a privilege log, and to seek monetary sanctions against Plaintiffs and their counsel. (ROA #2363, Mot.)

On 9/11/2026, Plaintiffs filed an opposition. (ROA #2437 [Opp].) Although Plaintiffs point out various technical deficiencies with the Basso Defendants’ motion (e.g., failure to file a separate statement that complies with CRC 3.1345), Plaintiffs essentially concede that they did not produce any documents (other than 4 pages) after the 3/27/2026 IDC. Instead, Plaintiffs rely on their previous document production of 13,688 pages in January 2014 in connection with the parties’ arbitration, which production Plaintiffs contend includes responsive documents to the instant RFPs. But Plaintiffs also essentially admit that they did not comply with Code of Civil Procedure (CCP) section 2031.280, subdivision (a), which requires the responding party to “identif[y] the specific request number to which the documents respond.” (See, e.g., Opp. at p. 4 [conceding that “Basso Defendants may dispute whether prior productions were sufficiently tied to particular requests, or whether additional documents should have been identified or produced,” and that Plaintiffs’ responses to the instant RFPs “could have been phrased more precisely to reflect the prior production”].) A failure to correlate demands with produced documents may be cured, for example, by providing a “table that list[s] by Bates number which documents applied to which requests.” (*Pollock v. Super. Ct.* (2023) 93 Cal.App.5th 1348, 1359.)

As an initial matter, the Court **ADMONISHES** the Basso Defendants’ counsel for failure to file a compliant separate statement with their initial moving papers. While the Basso Defendants sufficiently cured this defect with their supplemental separate statement filed concurrently with their reply, neither Plaintiffs nor the Court should have to wait until 5 days before the hearing to receive a compliant separate statement, which impedes the ability to respond to the

		motion. Counsel for the Basso Defendants are reminded to comply with all applicable rules and procedures in the future. For RFP Nos. 1, 3–10, 14–46, 48–51, 53–55, 57–62, and 68–89—which Plaintiffs’ 4/6/2026 further responses already state that Plaintiffs “will produce” responsive documents—the Court GRANTS the motion. (CCP § 2031.320, subd. (a).) The Court ORDERS Plaintiffs to produce all responsive documents within 21 days of notice of this ruling. To the extent Plaintiffs contend that they have already produced responsive documents, Plaintiffs are ORDERED to provide the Basso Defendants with a document, spreadsheet, or chart identifying which specific produced documents correspond to which specific requests for production in compliance with CCP section 2031.280 within 21 days of notice of this ruling. The Court notes that the Basso Defendants have withdrawn the instant motion as to RFP Nos. 47, 52, and 56. (ROA #2454 [Reply], p. 6.) For the remaining RFPs at issue in this motion—i.e., RFP Nos. 2, 11–13, and 63–67, the Court GRANTS IN PART and DENIES IN PART the motion. When responding to requests for production, the responding party must respond separately to each item or category by (1) a statement that the party will comply; (2) a representation that the party lacks the ability to comply; or (3) an objection. (CCP § 2031.210, subd. (a).) If the response is an inability to comply, the responding party “shall affirm that a diligent search and a reasonable inquiry has been made in an effort to comply with that demand. This statement shall also specify whether the inability to comply is because the particular item or category has never existed, has been destroyed, has been lost, misplaced, or stolen, or has never been, or is no longer, in the possession, custody, or control of the responding party. The statement shall set forth the name and address of any natural person or organization known or believed by that party to have possession, custody, or control of that item or category of item.” (CCP § 2031.230.) The Court finds that Plaintiffs’ responses substantially comply with CCP section 2031.230. Plaintiffs’ responses state that they are “unable to comply with this request as Responding Party does not have responsive documents within Responding Party’s possession, custody or control.” For some responses, Plaintiffs further state that they do “not believe Responding Party ever had responsive documents within Responding Party’s possession, custody or control.” This is sufficient to comply with the Code. Therefore, the Court DENIES the motion to compel further responses as to this portion of Plaintiffs’ responses to the RFPs. The only portion of these responses that does not comply with the Code is Plaintiffs’ failure to provide the address of the person or
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		organization known or believed by Plaintiffs to have possession, custody, or control of the documents. Therefore, the Court GRANTS the motion to the extent the responses are missing addresses and ORDERS Plaintiffs to serve verified, Code-compliant responses including addresses within 7 days of notice of this ruling. The Basso Defendants' initial moving papers also contended that Plaintiffs did not produce any privilege log after the 3/27/2026 IDC. In opposition, Plaintiffs contend that they produced the privilege log on 5/6/2026. (Opp. at p. 5.) In reply, the Basso Defendants contend that they only learned of the 5/6/2026 production when they read the opposition. (ROA #2454 [Reply], p. 2.) Upon further investigation, they noticed that Plaintiffs' service list omitted attorneys and staff at Mahaffey Law Group whom the Basso Defendants had specifically and repeatedly asked to be served; instead, the service list listed only Douglas L. Mahaffey, Esq.; Airene Williamson, Esq., an attorney who has not worked at the firm in over a year; and Thomas H. Cadden, Esq. of Cadden Fuller, LLP, an attorney Plaintiffs' own counsel had, by that date, acknowledged in writing is deceased. (<i>Id.</i> at pp. 2-3.) As Plaintiffs have already produced a privilege log and the Basso Defendants' reply do not identify any deficiencies with that log, the Court DENIES AS MOOT the motion to compel Plaintiffs' production of a privilege log. However, the Court also ADMONISHES Plaintiffs' counsel for failing to serve the correct attorneys and staff at the Basso Defendants' repeated request. Plaintiffs' counsel is reminded to update their service list accordingly. The Court further ADMONISHES Plaintiff's counsel for failure to respond to the Basso Defendants' 5/19 and 5/20/2026 follow-up meet and confer letters, which could have resolved this privilege log issue without the Court's involvement. Sanctions in the amount of \$8,150.00 are GRANTED in favor of the Basso Defendants and against Plaintiffs George and Carol Kornievsky and their counsel, jointly and severally, payable to the Basso Defendants' counsel within 30 days of notice. (CCP § 2031.310, subd. (h); see also CCP § 2023.030, subd. (a).) The Basso Defendants shall give notice of all of the above.
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108	Orange County Transportation Authority vs. M. Westland, LLC, a Delaware limited liability company 2018-00994118	1. Motion for Ruling on Legal Issue no.1 (ROA 508) 2. Motion for Ruling on Legal Issue no.2 (ROA 499) 3. Motion to Decide Evidentiary & Legal Issues (ROA 504) ISSUE #1 (Cross-Motions re 1960 ROW/Drainage Obligations) The parties have filed competing motions under Code of Civil Procedure (CCP) section 1260.040 asking the Court to address overlapping legal issues affecting compensation. Both motions are CONTINUED to October 29, 2026, at 2:00 p.m. in Department CX102 to allow for limited supplemental briefing, as explained and described below. The two motions are: 1. Plaintiff Orange County Transportation Authority's ("OCTA") Motion for Ruling on Legal Issue Affecting Compensation Under Code of Civil Procedure Section 1260.040 (No. 1) (ROA #508); and 2. Defendants (1) Dorothy Sublett-Miller and Walter J. Miller, Successor Trustees of the Miller Family Trust, originally dated October 12, 1979, Amended and Restated February 05, 2004, for the estate of Willis L. Miller, deceased, as to an undivided ½ interest; (2) Dorothy Sublett-Miller and Walter J. Miller, Successor Trustees of the Miller Family Trust, originally dated October 12, 1979, Amended and Restated February 05, 2004, for the estate of Dorothy M. Miller, deceased, as to an undivided ½ interest; and (3) Land Partners, LLC, a California limited liability company formerly known as Land Partners Co., Ltd.'s (collectively, "Miller Defendants") Motion to Decide Evidentiary and Legal Issues Affecting Compensation Pursuant to C.C.P. § 1260.040 (ROA #504). Plaintiff OCTA moves the Court to issue rulings pursuant to Code of Civil Procedure section 1260.040 on the following two issues: 1. Whether the term "accept," as used in Paragraph 12 of the circa 1960 Right of Way Contract – State Highway ("1960 Agreement"), requires only that Caltrans/OCTA provide drainage capacity sufficient to accommodate the discharge flows and discharge locations identified in the Voorheis, Trindle & Nelson study that formed the basis of the 1960 Agreement; and 2. Whether the term "accept," as used in Paragraph 12 of the circa 1960 Agreement, imposes any obligation on Caltrans/OCTA to design, construct, or maintain drainage facilities capable of accommodating runoff associated with a 100-year storm event without flooding, ponding, backup, or overflow onto the Miller or Westland Properties.
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		(ROA #508, OCTA’s Not. of Mot. & Mot., pp. 2-3.) OCTA seeks the following alternative rulings from the Court: • If the subterranean drainage system installed as part of the Project can accommodate the flows indicated in the VTN Study at the discharge locations indicated therein, there is no impairment of the owner’s rights under the 1960 Agreement. • <i>Alternatively</i>, designing the state drainage system to accommodate a 25-year design storm on the Miller and Westland properties meets the requirements in the 1960 Agreement. (ROA #508, OCTA’s Mot. P&A at p. 12.) The Miller Defendants move the Court to issue rulings pursuant to Code of Civil Procedure section 1260.040 on the following two issues: 1. The meaning of the word “accept” as used in paragraph 12 of the Right-of-Way Contract—State Highway, dated March 28, 1960, by and between the MILLER FAMILY’s matriarch and predecessor-in-interest, Dorothy H. Miller, on the one hand, and Stuart L. Hill, the State of California’s (“STATE”) “Right-of-way” agent, on the other (“ROW”).¹ 2. The rainfall standard the STATE, its agents, cotnractors and subcontractors were and are now legally bound to adhere to in designing, building and maintaining the freeway drainage system at issue. The Miller Defendants seek the following ruling from the Court: • The word “accept” in this context is clear and unambiguous on its face and requires the STATE to receive all surface drainage water flowing from the MILLER FAMILY’s property onto the STATE highway right-of-way for the present-day San Diego Freeway (I-405). • The STATE was and is required to adhere to the standard set forth in the Orange County Hydrology Manual and the Orange County Local Drainage Manual (2nd Edition) specifying that offsite drainage systems servicing habitable structures must be designed based on estimates of peak discharges and volumes of storm water runoff for the design of flood control facilities and floodplain determination, and that the primary goal is to provide 100-year flood protection for all habitable structures.
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¹ What the Miller Defendants refer to as the “ROW” is the same thing as what OCTA refers to as the “1960 Agreement.” The Court shall refer to it as the “1960 Agreement.”

(ROA #504, Ds’ Not. of Mot. & Mot., p. 3.)

The key provision at issue in the parties’ motions is ¶ 12 of the 1960 Agreement, which provides:

12. Whereas, it is generally agreed that surface drainage water on grantor’s remaining property and on the property mentioned in Paragraph 8, above, normally flows from the northeast to the southwest in a general direction toward the proposed freeway:

Therefore, it is understood and agreed by and between the parties hereto, that the State agrees to **accept drainage** onto the State highway right-of-way from grantor’s property at the following points as indicated in orange on Sketch No. 1 attached hereto and made a part hereof:

- A. Opposite Station 277+65
- B. Opposite Station 283+60
- C. Opposite Station 292+00

It is further understood and agreed that at these various points of acceptance the **drainage** shall only be **accepted** along an area ten (10) feet in width on either side of points A and C along the right-of-way line; and that **drainage** shall be **accepted** at point B to the width of thirty (30) feet.

(ROA #534 [Averett Decl.], Exh. 1 [1960 Agreement] at ¶ 12, emphases added.)

According to both motions, the parties dispute the meaning of the word “accept” as used in the 1960 Agreement. (OCTA’s Mot. P&A at p. 7; Ds’ Mot. P&A at p. 15.)

Based on the differences in the rulings that each side seeks in these motions, it appears that the focus of the parties’ dispute is the *amount* of “drainage” the State was obligated to accept under ¶ 12. (See, e.g., ROA #525 [OCTA’s Opp.], p. 8, emphasis original [“the question that controls this dispute[is] namely what is the *scope* of that duty—i.e., what quantity of drainage must be accepted, under what conditions, and according to what standard?”].) Therefore, although the parties contend their dispute is over whether the word “accept” is ambiguous, the real issue appears to be whether the word “drainage” in ¶ 12 is ambiguous.

In any case, in proffering their differing interpretations of ¶ 12, both sides appear to agree that the Court should consider the historical context of California law back in 1960 when the 1960 Agreement was executed. (OCTA’s Mot. P&A at p. 10; ROA 527 [Ds’ Opp.], pp. 10-11; ROA #542 [Ds’ Reply], p. 10.) Indeed, “[a]s a general rule, all

	applicable laws in existence when an agreement is made, which laws the parties are presumed to know and to have had in mind, necessarily enter into the contract and form a part of it, without any stipulation to that effect, as if they were expressly referred to and incorporated.” (Swenson v. File (1970) 3 Cal.3d 389, 393, internal quotes omitted.) But importantly, in its initial moving brief, OCTA contended that “[a]gainst that backdrop, it is unlikely that Caltrans intended to undertake a perpetual and open-ended drainage obligation.” (OCTA’s Mot. P&A, p. 10.) OCTA described that legal “backdrop” as follows: Prior to <i>Keys v. Romley</i> (1966) 64 Cal.2d 396, California law concerning the respective rights of upstream and downstream landowners was unsettled. Courts at times applied aspects of the "common enemy" doctrine, under which landowners possessed broad rights to protect their property from surface water, in essence providing an absolute right of downstream owners to reject upstream flows. (Id. at p. 401.) (Id.) OCTA’s characterization of California water law as it existed in 1960 before <i>Keys</i> is directly at odds with how the high court in <i>Keys</i> summarized it: There are three basic rules governing surface waters followed in the United States, although each rule has an infinite number of variations. The first is the <i>common enemy doctrine</i>. Stated in its extreme form, the common enemy doctrine holds that as an incident to the use of his own property, each landowner has an unqualified right, by operations on his own land, to fend off surface waters as he sees fit without being required to take into account the consequences to other landowners, who have the right to protect themselves as best they can. ... The second rule governing surface waters is known as the <i>civil law rule</i>. Diametrically opposed to the common enemy doctrine is the basic civil law rule which recognizes a servitude of natural drainage as between adjoining lands, so that the lower owner must accept the surface water which drains onto his land but, on the other hand, the upper owner has no right to alter the natural system of drainage so as to increase the burden. . . . “[T]he civil law rule ... is that a person who interferes with the <i>natural</i> flow of surface waters so as to
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		cause an invasion of another's interests in the use and enjoyment of his land is subject to liability to the other.” The rule finds its justification in the concept that those purchasing or otherwise acquiring land should expect and be required to accept it subject to the burdens of natural drainage. It has the advantage that rights thereunder are readily predictable, and thus tends to avoid the contests likely to occur under the common enemy doctrine. ... The third surface water doctrine is generally known as the <i>rule of reasonable use</i>. A few jurisdictions, finding it undesirable to apply either the civil law or common enemy doctrines in their rigid or extreme forms, have evolved a rule of reasonable use which attempts to determine the rights of the parties with respect to the disposition of surface waters by an assessment of all the relevant factors. ... The rights and liabilities of adjoining landowners in California with respect to the flow of surface waters, have generally been determined by the rule of civil law, <i>aqua currit et debet currere ut currere solebat</i>. The civil law rule was first adopted by the Supreme Court of California in 1873 . . . Under our civil law rule the owner of an upper, or dominant, estate is entitled to discharge surface water from his land as the water naturally flows. As a corollary to this, the upper owner is liable for any damage he causes to adjacent property by the discharge of water in an unnatural manner. In essence, each property owner's duty is to leave the natural flow of surface water undisturbed. The civil law rule has not been universally accepted in its application to urban land; and as a result it has been suggested in the cases that an undefined exception to the rule exists in California with respect to urban land. Since defendants here have made a similar contention on appeal, we find it appropriate to examine the California law of surface waters and to ascertain whether it remains adaptable to the current milieu. ... Thus we are urged to consider the reasonable use rule as an attempt to cope with the problem through the use of tort rather than property concepts. Adherents of the reasonable use rule have criticized both the civil law rule and the common enemy
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rule as being too rigid and inflexible, unjust in many cases, and inappropriate in view of the complex modern development of land in urban areas.

While these criticisms may validly apply to both rules, **we need not consider the common enemy rule for it has never been followed in California, and, in fact, was summarily rejected nearly a century ago in *Ogburn v. Connor* (1873) *supra*, 46 Cal. 346, 352.** However, we must examine the civil law rule to determine whether it has the shortcomings charged.

(*Keys, supra*, 64 Cal.2d at pp. 400, 402-403, 405-406, internal citations omitted, italics original, bolding added.)

Therefore, there is **zero support** for OCTA’s contention in its initial moving brief that California followed the common enemy rule in 1960 prior to the *Keys* decision—in fact, the opposite is true. Rather, the prevailing rule in California in 1960 was the civil law rule, under which “the owner of an upper, or dominant, estate is entitled to discharge surface water from his land as the water naturally flows,” and “the lower owner must accept the surface water which drains onto his land,” “each property owner’s duty is to leave the natural flow of surface water undisturbed,” and “a person who interferes with the *natural* flow of surface waters so as to cause an invasion of another’s interests in the use and enjoyment of his land is subject to liability to the other.” (*Keys, supra*, 64 Cal.2d at pp. 402, 405-406, internal quotes omitted, italics original.)

Accordingly, the Court **ADMONISHES** OCTA’s counsel for its misrepresentation of California law in its initial moving brief.

Importantly, not only did OCTA cite and rely on the completely incorrect general rule for surface water rights, OCTA also **did not cite any other authorities on the correct legal context in 1960** with respect to the State’s and Ms. Miller’s rights on this front.

Accordingly, in their opposition to OCTA’s motion, the Miller Defendants focused on demonstrating that the common enemy rule was not the prevailing standard as OCTA contended and what the civil law rule was. (See Ds’ Opp. at pp. 10-11.) The Miller Defendants thus cited numerous cases predating *Keys* indicating that under the civil law rule, “[i]t is thoroughly settled in California that the owner of the upper or dominant estate has a legal and natural easement or servitude in the lower or servient estate to discharge **all** surface waters naturally falling or accumulating on his land, upon or over the land of the servient owner in the manner in which they would naturally flow from a higher to a lower level and that the owner of the lower estate is answerable in damages for any injury which may be caused to the upper estate by reason of obstructions which he has placed in the way of such natural flow, thus causing it to back up or remain on the land of the upper proprietor.” (*Id.* at pp. 11-13, quoting *Le Brun v. Richards* (1930) 210 Cal. 308, 313-314, emphasis added.)

In reply, OCTA completely changed its tune on what is the correct legal context in 1960. Although OCTA does not directly admit that its description of California law predating *Keys* was incorrect in its initial moving brief, OCTA now argues that the correct law “directly applicable to public highways” is set forth in **two cases OCTA never cited in its moving brief but cited for the first time only in its reply brief.** (ROA #536 [OCTA’s Reply], pp. 4-5, citing *O’Hara v. Los Angeles County Flood Control Dist.* (1941) 19 Cal.2d 61, 63-64; *People ex rel. Dept. of Public Works v. Lindskog* (1961) 195 Cal.App.2d 582, 588–589.) OCTA contends that “under the law existing when the 1960 Agreement was executed, the State could have categorically rejected surface runoff from the Miller and Westland Properties” (*id.* at p. 4) because in *O’Hara*, the California Supreme Court held that “[a] governmental agency, . . . in constructing public improvements such as streets and highways, may validly exercise its ‘police power’ to obstruct the flow of surface waters not running in a natural channel without making compensation for the resulting damage” (*O’Hara, supra*, 19 Cal.2d at p. 63). OCTA also contends that under *Lindskog*, “the State could obstruct surface waters not running in a natural channel without compensation the upstream owner.” (OCTA’s Reply at p. 18.)

“Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument. Obvious reasons of fairness militate against consideration of an issue raised initially in the reply brief of a[party]. Obvious considerations of fairness in argument demand that the [moving party] present all of his points in the opening brief. To withhold a point until the closing brief would deprive the respondent of his opportunity to answer it or require the effort and delay of an additional brief by permission. Hence the rule is that points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Reichardt v. Hoffman* (1997) 52 Cal.App.4th 754, 764, internal quotes & citations omitted.)

Ultimately, both parties agree that the applicable historical 1960 legal context is relevant to the Court’s interpretation of ¶ 12 of the 1960 Agreement. Therefore, the Miller Defendants should be given an opportunity to respond to these new authorities cited for the first time in OCTA’s reply brief.

Thus, so that the Miller Defendants are not prejudiced by OCTA’s failure to set forth what it contends is the correct rule “directly applicable to public highways” in OCTA’s initial moving papers, and so that the Court can have the benefit of the parties’ analysis on all the relevant rules applicable to resolution of the instant motions, **the Court CONTINUES the motion and ORDERS that the Miller Defendants may submit a surreply of no more than 10 pages total to address these new authorities cited in OCTA’s reply on this point (i.e., *O’Hara* and *Lindskog*).**

In opposition to OCTA’s motion, the Miller Defendants also rely on their own extrinsic evidence consisting of “copies of grant deeds the State executed with neighboring landowners whose properties were concurrently condemned or acquired under threat of condemnation for the I-405’s construction.” (Ds’ Opp. at p. 13, citing Averett Decl., ¶¶ 4-15, Exhs. 2-11.)

According to the Miller Defendants, “[m]any” of these other grant deeds “contain a clause substantially identical to” the following:

The grantor understands that the present intention of the grantee is to construct and maintain a public highway on the lands herein conveyed in fee and the grantor, for himself, his successors and assigns, hereby waives any claims for any and all damages to grantor’s remaining property contiguous to the property herein conveyed by reason of the location, construction, landscaping or maintenance of said highway.

(*Id.*, citing Averett Decl., Exhs. 2-11.) The Miller Defendants contend that “[t]he inclusion of this repetitive clause in some, but not all, the deeds proves the State knew how to protect itself against, among other things, *California’s long-settled law requiring it to prevent flooding of uphill properties.*” (*Id.* at p. 14, emphasis added.)

However, this argument does not adequately take into account the new authorities cited by OCTA in its reply brief (*O’Hara* and *Lindskog*). **Therefore, the Miller Defendants’ surreply (still limited to a total of 10 pages) may also update their arguments on this extrinsic evidence in light of OCTA’s citation of *O’Hara* and *Lindskog* in OCTA’s reply brief.**

Additionally, in its initial moving brief, OCTA cited Civil Code section 1069. Section 1069 provides that “[a] grant is to be interpreted in favor of the grantee, except that a reservation in any grant, and every grant by a public officer or body, as such, to a private party, is to be interpreted in favor of the grantor.”

In its initial moving brief, OCTA briefly argues **in 2 short paragraphs** that Section 1069 favors a limited interpretation of ¶ 12 in favor of the State—**without citing any legal authority other than Section 1069’s statutory language.** (OCTA’s Mot. P&A at p. 8.) OCTA’s argument is less than clear as phrased, but OCTA appears to interpret ¶ 12’s “accept drainage” provision as constituting a “grant by a public . . . body, as such, to a private party,” which then must be “interpreted in favor of the grantor,” i.e., the State. OCTA thus contends that the Court should interpret the term “accept” narrowly to require only a “passive duty to not reject water” and not to “judicially impose an affirmative duty or guarantee of drainage performance.” (*Id.*) OCTA also contends that the Court should reject any interpretation that “impose[s] broad, changing, or perpetual drainage

obligations absent clear contractual language establishing such duties.” (*Id.*)

In opposition, the Miller Defendants contend that Section 1069’s public grant provision does not apply here because the 1960 Agreement itself refers to Dorothy H. Miller as the “[g]rantor” of the subject “right of way.” (Opp. at p. 15, citing 1960 Agreement at p. 1.) The Miller Defendants characterize “[t]he State’s promise to ‘accept drainage’ [] as simply part of the *consideration* paid for that conveyance.” (*Id.*, emphasis added.) **The Miller Defendants also cite no authorities** in support of this argument, which consisted of one short paragraph. (*Id.*)

In its reply brief, OCTA finally fleshes out more of its Section 1069 argument by contending that the Miller Defendants’ counterargument “misses the point” because:

As part of that same Agreement, the State made a promise running in the opposite direction: it agreed to "accept" drainage. Under Defendants' own theory, that promise gave the Miller and Westland properties an affirmative and continuing right to discharge water onto or through State property. In substance, the State granted back to the Miller Family a drainage easement or comparable property interest of some scope. The scope of that interest is precisely what the Court is now being asked to determine.

(OCTA’s Reply at p. 5.)

Also, **for the first time, OCTA cites *Red Mountain, LLC v. Fallbrook Public Utility Dist.* (2006) 143 Cal.App.4th 333** in support of its position that Section 1069’s public grant provision applies to ¶ 12. (*Id.* at pp. 5-6.) OCTA contends that *Red Mountain* is “particularly instructive” and “closely analogous here.” (*Id.*)

To the extent that OCTA relies upon *Red Mountain* for its Section 1069 argument, OCTA should have cited to it in its initial moving papers and should not have waited until the reply brief to cite this authority. The Court also recognizes that OCTA cited *Red Mountain* in its opposition to the Miller Defendants’ motion. (See OCTA’s Opp. at p. 12.) However, that citation was limited, and OCTA’s entire argument on Section 1069 in this opposition brief consisted of one paragraph. (*Id.*) In contrast, OCTA’s detailed discussion of *Red Mountain* and its Section 1069 argument in its reply in support of its own motion consisted of nearly 2 whole pages. (OCTA’s Reply at pp. 5-7.) Ultimately, OCTA was the one who raised the Section 1069 argument in the first place, and it did so in its initial moving brief. So OCTA should have included its detailed discussion of *Red Mountain* in that brief and not waited until its reply brief to do so, thereby depriving the Miller Defendants the opportunity to fully address this authority. **Accordingly, the Miller Defendants’ surreply (still limited to a total of 10 pages) may also respond to *Red Mountain***

		as a new authority cited in OCTA’s reply on the application of Section 1069. To confirm, the Miller Defendants’ surreply should not address any issues beyond the discrete issues identified in this ruling, which focus on only new arguments and authorities cited in OCTA’s reply brief, so that the Miller Defendants have an adequate opportunity to respond to those arguments. The Miller Defendants must file any surreply at least 9 court days before the continued hearing on this matter. OCTA shall give notice of this ruling. ISSUE #2 (Re Limitation of Evidence re Flooding) Plaintiff Orange County Transportation Authority (“OCTA”) has also filed a Motion for Ruling on Legal Issue Affecting Compensation Under Code of Civil Procedure Section 1260.040 (No. 2). (ROA #499.) As the parties previously stipulated that all three of the parties’ motions raise “same and/or substantially similar legal issues,” and “the Parties believe it is in their best interests, as well as to promote judicial efficiency, that the motions are heard at the same date and time” (ROA #521), the Court also CONTINUES this motion to October 29 at 2:00 p.m. in Department CX102. OCTA shall give notice of this ruling.
109	Gonzalez vs. Bear Down Brands, LLC 2023-01340515	Motion for Preliminary Approval of Class/PAGA Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. But the Court has identified a minor new issue that must be addressed. Accordingly, Plaintiff Nicolas Gonzalez’s Motion for Preliminary Approval of Class Action and PAGA Settlement is CONDITIONALLY GRANTED, pending submission of a further revised Class Notice and Proposed Order Granting Preliminary Approval. This is a putative wage-and-hour class action and PAGA matter. On 8/7/2023, Plaintiff Nicolas Gonzalez, individually and on behalf of all others similarly situated, filed a class action and PAGA complaint against Defendant Bear Down Brands, LLC, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #2.) Defendant answered on 11/8/2023. (ROA #13.) On 1/8/2026, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class/PAGA Action Settlement Agreement and Class Notice for

the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of Plaintiff's class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$149,250. The GSA includes a credit of \$37,250 for money already paid by Defendant to individual *Pick Up Stix* Settled Class Members allegedly as a result of this action and \$12,500 allocated for PAGA penalties.

On 5/14/2026, the Court continued the first hearing on the motion and asked Class Counsel to address various issues. (ROA #70.) Counsel then submitted supplemental materials, including an Amended Class/PAGA Action Settlement Agreement ("Amended Settlement Agreement") and an amended Class Notice.

On 7/23/2026, the Court continued the second hearing on the motion and asked Class Counsel to address various issues. (ROA #77.) Counsel then submitted supplemental materials, including a further amended Class Notice.

Based on a review of all papers submitted, including the Amended Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing.

However, within five (5) court days, Class Counsel must submit a further amended Class Notice that correctly states that the Amended Settlement Agreement provides for only up to \$6,550 (not \$7,500) to be paid to the administrator for settlement administration costs.

Also within five (5) court days, Class Counsel must provide a further revised Proposed Order that includes the further amended Class Notice.

Upon these submissions, the Court will grant the Motion.

The Motion for Final Approval will be heard on January 28, 2027 at 2:00 p.m. in Department CX102. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.

At the Final Approval hearing, evidence supporting the request for an award of attorneys' fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys' fees award will not be made until final approval, the Court is unlikely to approve attorneys' fees in excess of thirty percent

		(30%) of the GSA absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist. Also at the Final Approval hearing, Class Counsel must also disclose whether counsel has any fee-splitting arrangement with any other counsel, or confirm none exists Additionally, at the Final Approval hearing, Plaintiff and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement award and addressing the factors set forth in <i>Golba v. Dick's Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251, 1272, and <i>Clark v. American Residential Services, LLC</i> (2009) 175 Cal.App.4th 785, 804. Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiff to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.
110	Zetterberg vs. Lyon Management Group, Inc. 2025-01473737	Motion for Preliminary Approval of Class Settlement The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for preliminary approval of a data breach class action settlement with a maximum cash claim amount of \$400,000. Upon submission of papers reflecting the revisions identified below, the motion will be granted as follows: \$3,000 for plaintiff's enhancement payment (not to exceed); \$115,000 for attorneys' fees and costs (not to exceed); \$14,500 for settlement administration costs (not to exceed); and <u>As to the claim form:</u> 1. Include the case name, case number, and court on each page in the document header. ROA 104 Ex. 1(C). <u>As to the "short" notice:</u> 2. There is a formatting error that must be corrected so that all text is fully legible. ROA 104 Ex. 1(A). 3. The "What if I don't want to participate in the Settlement?" section should be revised to exclude reference to objections. ROA 104 Ex. 1(A). Remove the sentences "If you want to object to the Settlement, submit an objection to the Settlement Administrator by [Objection Deadline]. You are not required to file your objection with the Court." Id. Remove the phrase "or object" from the last sentence. Id. <u>As to the proposed order for preliminary approval (ROA 74 Ex. D):</u> 4. The court previously ordered that counsel information should be removed from the caption page. ROA 94. This has not been

		done. ROA 104 Ex. 1(D). - Remove “Unopposed” from the document title. ROA 104 Ex. 1(D). Add “of Class Action Settlement” to the end of the document title. The footer should mirror the document title. - The court previously ordered that the order was not a “judgment.” ROA 94. The footer continues to reflect “and Judgment.” ROA 104 Ex. 1(D). - The court previously ordered that the settlement and any amendments should be identified and attached as exhibits. ROA 94. The amendment is not identified or purportedly attached. ROA 104 Ex. 1(D) at 1. - Remove footnote 2. - Paragraph 6 should also identify the amendment to the settlement. - The court previously ordered that the last sentence of paragraph 11 should be deleted. ROA 94. This has not been done. Delete the entire last sentence of paragraph 9 and do not supplement the paragraph. ROA 104 Ex. 1(D) ¶ 9. Plaintiff must file corrected versions of all revised documents, including redline versions reflecting all changes. The final approval hearing is scheduled for February 25, 2027, at 2PM in Department CX102. The motion for final approval shall be filed at least 16 court days before the hearing. Plaintiff is ordered to give notice and to file a proof of service.
111	Embee Inc vs. Safeco Insurance Company of America 2012-00586683	Motion for Summary Judgment and/or Adjudication Defendant Fireman’s Fund Insurance Company (Fireman’s Fund) moves for summary judgment, or in the alternative, summary adjudication, against the fourth amended complaint of plaintiff Embee, Inc. fka Embee Plating (Embee). ROA 1979. For the following reasons, defendant’s motion for summary judgment is granted. Legal standard A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna

Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51.

“[I]t is well established that the operative pleading frames the issues for purposes of summary judgment” Restivo v. City of Petaluma (2025) 111 Cal.App.5th 267, 279. “The pleadings delimit the issues to be considered on a motion for summary judgment. [Citation.] The defendant must present facts to negate each claim as framed by the complaint or establish a defense.” Turner v. State of California (1991) 232 Cal.App.3d 883, 891.

Analysis

Embee’s fourth amended complaint (4AC) alleges two causes of action against Fireman’s Fund: (1) breach of contract; and (2) breach of the covenant of good faith and fair dealing. ROA 1979. Embee alleges the Orange County Water District filed an action against Embee and others, seeking to “protect the groundwater resources of Orange County from toxic pollution.” 4AC, ¶ 8. Embee alleges the OCWD complaints “do not contain any specific allegations regarding any alleged release purportedly caused by Embee at the facility in question, such as any date or dates on which any alleged releases purportedly caused by Embee took place or how such alleged releases purportedly caused by Embee occurred” and “[i]nstead, the complaints contain only the broad, general allegations that ‘Embee released hazardous wastes.’” 4AC, ¶ 10.

Embee alleges “[o]n or about November 14, 2012, EMBEE and DTSC entered into a ‘Corrective Action Consent Agreement – Phase II’” and that “Embee has continued to incur costs related to the investigation of hazardous waste at its property pursuant to demands made by DTSC pursuant to this agreement.” 4AC, ¶ 11.

Embee alleges it “submitted certain costs to Fireman’s Fund with respect to costs incurred after May 31, 2017,” these submitted costs “represent defense costs, or indemnity costs, or both,” and that “Fireman’s Fund has refused to pay these defense costs, or indemnity costs, thereby breaching its duty to defend or indemnify the DTSC Proceedings and the OCWD action.” 4AC, ¶¶ 13-15.

Fireman’s Fund seeks summary judgment on the following grounds: (1) Embee’s breach of contract claim is barred “because Embee breached the no-voluntary-payments provision contained in the Primary Commercial General Liability Policy No. MXP 289 44 86 for the period of April 1, 1976 through April 1, 1979 (“Primary Policy”) and the Blanket Excess Liability Policy No. XLB 142 10 59 for the period of April 1, 1980 through April 1, 1981 and Blanket Excess Liability Policy No. XLB 145 59 77 for the period of April 1, 1981 through April 1, 1982 (collectively, “Blanket Excess Policies”); (2)

		Firemean’s Fund’s seventh affirmative defense of “Policy Terms, Conditions, and Exclusions – Prohibition Against Voluntary Payments” (ROA 1983) bars plaintiff’s claims “because Embee is not entitled to defense, indemnity, contribution, or any payment relating to the OCWD Action because Embee violated the prohibition against voluntary payments contained in the Primary Policy and the Blanket Excess Policies,”; and (3) Embee’s breach of the covenant of good faith and fair dealing claim is barred “because Embee is not entitled to policy benefits under the Primary Policy and the Blanket Excess Policies because Embee breached the no-voluntary-payments provisions contained in the Primary Policy and the Blanket Excess Policies.” Corrected Notice of Motion (ROA 2058) 2:11-25. The elements of a breach of contract cause of action are: (i) existence of the contract; (ii) plaintiff’s performance or excuse for nonperformance; (iii) defendant’s breach; and (iv) damage to plaintiff resulting therefrom. <i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811. “While insurance contracts have special features, they are still contracts to which the ordinary rules of contractual interpretation apply. . . . The fundamental goal of contractual interpretation is to give effect to the mutual intention of the parties. (Civ. Code, § 1636.) If contractual language is clear and explicit, it governs. (Id., § 1638.) On the other hand, “[i]f the terms of a promise are in any respect ambiguous or uncertain, it must be interpreted in the sense in which the promisor believed, at the time of making it, that the promisee understood it.’ This rule, as applied to a promise of coverage in an insurance policy, protects not the subjective beliefs of the insurer but, rather, ‘the objectively reasonable expectations of the insured.’” <i>Bank of the West v. Superior Court</i> (1992) 2 Cal.4th 1254, 1264-65. As stated above, Embee alleges in the 4AC that Fireman’s Fund has not paid certain defense costs or indemnity costs and thus, Fireman’s Fund has breached its duty to defend or indemnify the DTSC Proceedings and the OCWD action. The court addresses below the duty to defend and duty to indemnify under each of the applicable policies in each of the two proceedings. DTSC Proceedings 1. Primary Policy - Commercial General Liability Policy No. MXP 289 44 86 for the period of April 1, 1976 through April 1, 1979 <i>Duty to Indemnify</i> This court (Judge Gail A. Andler) previously granted Fireman’s Fund’s motion for summary adjudication on the issue of Fireman’s Fund’s “duty to indemnify Embree against the claims brought by DTSC as these policies limit Fireman’s indemnity obligation to all sums which Embee shall be obligated to pay as damages.” 8/12/16 Order (ROA 847) at 2-3.
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	Thus, Fireman’s Fund has no duty to indemnify plaintiff in the DTSC Proceedings under the Primary Policy. <i>Duty to Defend</i> “The duty to defend arises when the insured tenders defense of the third party lawsuit to the insurer.” Foster-Gardner, Inc. v. Nat’l Union Fire Ins. Co. (1998) 18 Cal.4th 857, 886, as modified (Sept. 23, 1998). This court (Judge Lon F. Hurwitz) previously found “there was never a ‘claim’, ‘suit’, ‘administrative proceeding’, or threat of enforcement by DTSC as against Embee relating to, or arising from, the DTSC Proceeding. 9/13/23 Statement of Decision (ROA 1761) at 39. Because the DTSC Proceeding was never “a claim, suit, administrative proceeding, or threat of enforcement by DTSC,” Fireman’s Fund has no duty to defend plaintiff in the DTSC Proceedings under the Primary Policy. 2. Blanket Excess Policies - Blanket Excess Liability Policy No. XLB 142 10 59 for the period of April 1, 1980 through April 1, 1981 and Blanket Excess Liability Policy No. XLB 145 59 77 for the period of April 1, 1981 through April 1, 1982 <i>Duty to Indemnify and Duty to Defend</i> After a one-day bench trifurcated trial on Embee’s cause of action for declaratory relief, this court (Judge Lon F. Hurwitz), relying on the prior findings and rulings of Judges Andler and Sanders, found that “there was never any possibility that there would be coverage for indemnity under the subject Excess Liability Policies in the DTSC Proceeding” and “[b]ecause there was never any possibility of indemnity coverage under the Excess Liability Policies for the DTSC Proceeding, FFIC never had a Duty to Defend Embee in the DTSC Proceeding.” 9/13/23 Statement of Decision (ROA 1761) at 38-39. This court also found, “Based upon the absence of any Duty to Defend Embee for the DTSC Proceeding, there is no duty or obligation for FFIC to reimburse costs, investigative or otherwise, or any other expenditure incurred by Embee, in the DTSC Proceeding.” Id. at 40-41. Accordingly, Fireman’s Fund has no duty to indemnify or duty to defend plaintiff in the DTSC Proceedings under the Blanket Excess Policies. OCWD Action The following material facts are not in dispute: • The Primary Policy contains Condition No. 4 regarding the Insured’s Duties in the Event of Occurrence, Claim, or Suit, which provides that: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any
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		expense other than for first aid to others at the time of accident.” UMF 2. - Blanket Excess Liability Policy No. XLB 142 10 59 and Policy No. XLB 145 59 77 contain a condition that: “[Embee] shall not at any time make or authorize an admission of liability or attempt to settle or otherwise dispose of any claim or suit without the written consent of [Fireman’s Fund].” UMF 6. - On November 14, 2012, Embee entered into a Corrective Action Agreement – Second Phase with the DTSC. UMF 12. - On December 10, 2012, Embee wrote to Fireman’s Fund for the first time demanding payment for over \$2 million in costs related to the Consent Agreements. UMF 13 and 14. - This court (Judge Lon F. Hurwitz) found that Embee voluntarily entered into the 2001 and 2012 DTSC consent agreements and without Fireman’s Fund’s knowledge or consent. UMF 34. - On January 22, 2020, Embee reached a settlement in the underlying OCWD Action with the OCWD, which released all claims by the OCWD against Embee relating to the Site. Joint Separate Statement of Material Facts in Support of Fireman’s Fund’s Motion for Summary Judgment or in the Alternative, Summary Adjudication (ROA 2053) UMF 18. - In conjunction with the settlement between Embee and OCWD, in January 2020, Embee and its insurers, including Fireman’s Fund, entered into a settlement agreement to fund a large portion of the settlement of the OCWD Action. UMF 19. - The costs at issue being sought by Embee are for costs incurred and invoiced after May 31, 2017. UMF 36. - Fireman’s Fund has paid each Stantec invoice it received from David Wood for work Stantec performed for Wood Smith in the defense of the OCWD Action. UMF 23. - Fireman’s Fund (and other insurance companies) have paid all of Wood Smith’s defense fees in defense of the OCWD Action. UMF 24. - Fireman’s Fund (and other insurance companies) have paid all of the expert costs for the expert retained in the defense of OCWD action. UMF 25. - None of the activities performed by Stantec since 2017 are related to the OCWD Action. UMF 28. As plaintiff does not dispute the material fact that Fireman’s Fund, along with other insurance companies, funded a large portion of the
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	settlement of the OCWD Action (UMF 19), Fireman’s Fund has met its burden of establishing there are no triable issues of fact that Fireman’s Fund did not breach its duty to indemnify under the Primary Policy and the Blanket Excess Policies in the OCWD Action. <i>Accordingly, the remaining issue to be resolved, and as stated repeatedly in plaintiff’s opposition, is Fireman’s Fund’s duty to defend, including payment of defense costs incurred, in the OCWD Action. See Opp. (ROA 2026) at 15:2-3;7-8 (“The upcoming trial concerns defense costs incurred in the OCWD lawsuit, not defense costs in the DTSC matter.”); see also id. at 16:3-4 (“The issue for trial is whether Embee can recover its defense costs incurred for the OWCD Lawsuit.”).</i> 1. Primary Policy The Primary Policy issued by Fireman’s Fund contains the following provision: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any expense other than for first aid to others at the time of accident.” UMF 2. Fireman’s Fund contends Embee’s claim for indemnity and defense costs under the Primary Policy is barred by this “no-voluntary-payments” (NVP) provision. “California law enforces such no-voluntary-payments provisions in the absence of economic necessity, insurer breach, or other extraordinary circumstances. [Citations.] They are designed to ensure that responsible insurers that promptly accept a defense tendered by their insureds thereby gain control over the defense and settlement of the claim. That means insureds cannot unilaterally settle a claim before the establishment of the claim against them and the insurer’s refusal to defend in a lawsuit to establish liability. As the Supreme Court has recognized, the decision to pay any remediation costs outside the civil action context raises a ‘judgment call left solely to the insurer....’ [Citation.] In short, the provision protects against coverage by fait accompli.” Jamestown Builders, Inc. v. Gen. Star Indem. Co. (1999) 77 Cal.App.4th 341, 346; see also Pitzer College (2019) 5 Cal.5th 93, 108, citing Jamestown. In Santa Clara Valley Water Dist. v. Century Indemnity Co. (2023) 89 Cal.App.5th 1016, the NVP provision at issue was similar to the NVP provision contained in the Primary Policy issued by Fireman’s Fund: “[t]he [insured] shall not, except at [its] own cost, voluntarily make any payment, assume any obligation or incur any expense...” Id. at 1028. Santa Clara Valley Water District involved a consent decree entered into between the insured water district and the United States Fish and Wildlife Service arising out of allegations of mercury contamination. The Water District provided Century Indemnity Co. with “notice of claims asserted against it by the United States of America and the State of California regarding alleged natural resource damages concerning mercury impacts in the Guadalupe River Watershed.” Id. Neither the claim letter nor its enclosures indicated
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		the existence of a lawsuit, and it was undisputed that there was no lawsuit until years later. Id. Century subsequently stated in a letter that it had no duty to defend the Water District under the primary policies because “no lawsuit had been filed.” Id. Approximately four years later, the Water District entered into a consent decree with the U.S. Fish and Wildlife Service and a federal action was filed against the Water District and other entities. Id. at 1029. The executed consent decree was filed in the federal action and in it, the Water District agreed to fund, commence, and complete certain work specified in the consent decree. The Water District did not advise Century of the filing of the action or the filing and execution of the consent decree until 33 months later. Id. The Water District filed suit for breach of contract and breach of covenant of good faith and fair dealing against Century. The trial court granted Century’s motion for summary adjudication, finding that Century had met its burden as the moving party of showing, based upon application of the NVP provisions of the two excess policies, that it had no obligation to indemnify the District. Id. at 1032. The appellate court upheld the granting of summary adjudication as “[t]he evidence was undisputed that the District, in fact, voluntarily assumed obligations as provided in the Consent Decree and made payments and incurred expenses pursuant to that agreement without the knowledge, involvement, or approval of Century.” Id. at 1038. The court further stated: “The fact that the insured's settlement made without the participation or approval of the insurer was in the form of a consent decree does not alter our conclusion that the NVP provisions of the excess policies applied in this case. As the California Supreme Court has explained, “‘[B]ecause their terms are arrived at through mutual agreement of the parties, consent decrees ... closely resemble contracts.’ [Citation.] ... ‘Indeed, it is the parties' agreement that serves as the source of the court's authority to enter any judgment at all.’ [Citation.] ‘More importantly, it is the agreement of the parties, rather than the force of the law upon which the complaint was originally based, that creates the obligations embodied in a consent decree.’ [Citation.]” (Aerojet-General Corp. v. Transport Indemnity Co. (1997) 17 Cal.4th 38, 66–67 [70 Cal.Rptr.2d 118, 948 P.2d 909], fn. omitted (Aerojet-General).) The Consent Decree here was, as described in the document, a “settlement.” It was, by the District's admission, “heavily negotiated by the District's counsel.” Although the settlement by the Trustees and the District took the form of a consent decree, this did not alter the fact that it was an agreement to settle a third party claim without the consent of the insurer. Concluding that this agreement, because it took the form of a consent decree, was not subject to the NVP provisions of the excess policies “would be a triumph of form over substance.” (Grupe Development Co. v. Superior Court (1993) 4 Cal.4th 911, 921 [16 Cal.Rptr.2d 226, 844 P.2d 545]; cf. AIU Ins. Co. v. Superior Court (1990) 51 Cal.3d 807, 840 [274 Cal.Rptr. 820, 799 P.2d 1253])
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		[rejecting interpretation of CGL insurance policy that would “exalt form over substance”].)” Id. at 1039-40. Here, similar to Santa Clara Valley Water District, Embee entered into the November 2012 “Corrective Action Agreement – Second Phase” with the DTSC without the knowledge, involvement, or approval of Fireman’s Fund and Embee sought reimbursement for costs incurred pursuant to the consent agreements after Embee had voluntarily entered into the DTSC consent agreements without Fireman’s Fund’s knowledge . UMF 12, 13, 14, 34. Embee’s argument that the NVP provision in the Primary Policy is “ambiguous because it does not have a consent provision and because the meaning of ‘voluntary payment’ is unclear” is unpersuasive as the authorities on which plaintiff relies are distinguishable. In <i>Shell Oil Co. v. Nat’l Union Fire Ins. Co.</i> (1996) 44 Cal.App.4th 1633, the court observed that it was “unclear” whether the NVP provision included pre-tender defense costs. Id. at 1648. Here, Embee seeks reimbursement of defense costs incurred after May 31, 2017, after Embee first requested payment of expenses from Fireman’s Fund. UMF 14., 36. Similarly, in <i>Fiorito v. Superior Court</i> (1990) 226 Cal.App.3d 433, the issue was the “voluntariness” of the insureds’ actions in incurring pre-tender expenses, i.e., retaining counsel “to take actions necessary to protect their legal interests in the suit,” when the insureds were in the process of identifying the insurance policies. Id. at 438-39. This is not the factual scenario here. Plaintiff contends Fireman’s Fund waived its right “to withhold its consent to the 2012 DTSC consent agreement” when Fireman’s Fund “denied coverage in 2008 for the DTSC matter” and for a second time, “denied coverage under the excess policies in 2011.” “[W]aiver is the intentional relinquishment of a known right after knowledge of the facts.” [Citations.] The burden ... is on the party claiming a waiver of a right to prove it by clear and convincing evidence that does not leave the matter to speculation, and “doubtful cases will be decided against a waiver” [citation].’ [Citations.] The waiver may be either express, based on the words of the waiving party, or implied, based on conduct indicating an intent to relinquish the right. [Citation.]” (Waller, supra, 11 Cal.4th at p. 31, 44 Cal.Rptr.2d 370, 900 P.2d 619.) In the insurance context, “ ‘a waiver exists whenever an insurer intentionally relinquishes its right to rely on the limitations provision. [Citation.]’ [Citation.] Whether a waiver has occurred depends solely on the intention of the waiving party. [Citation.]” (Velasquez v. Truck Ins. Exchange (1991) 1 Cal.App.4th 712, 722 [5 Cal.Rptr.2d 1] (Velasquez).)” Santa Clara Valley Water Dist., supra, 89 Cal.App.5th at 1055. Plaintiff did not present any, much less clear and convincing, evidence supporting its claim that Fireman’s Fund waived enforcement of the
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NVP provision. In Fireman’s Fund’s August 8, 2008 letter agreeing to defend Embee in the OCWD Action under the Primary Policy subject to a reservation of rights, The letter states: “Any separate administrative requests, demands or orders against Embee, Inc. from the California Regional Water Quality Control Board or any other Federal, State or local agency do no constitute a suit under the subject policies, and therefore FFIC denies any obligation to defend or indemnify Embee, Inc. regarding any such requests, demands or orders.” UMF 11; Markos Decl. (ROA 1966) Ex. O (at 5). The letter also states: “FFIC's investigation, defense, negotiation, settlement or any other acts or inaction of FFIC in regard to the tendered complaint shall not be construed as a waiver of any of FFIC's rights under the above-captioned policies or applicable law nor as an admission of any obligation thereunder. FFIC's agreement to participate in the defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred.” Id. at 2.

As this court (Judge Lon F. Hurwitz) has already determined that the DTSC Proceeding was not a “claim, suit, administrative proceeding or threat of enforcement by DTSC,” it cannot be said that the DTSC Proceeding was a “separate administrative request, demand or order” to which Fireman’s Fund’s alleged denial of coverage applies. Moreover, the 2008 letter does not support a claim of waiver because Embee had not yet signed the 2012 DTSC consent agreement. See Santa Clara Valley Water District, supra, 89 Cal.App.5th at 1056 (finding that “since the NVP provisions were not implicated in this instance until four years later (in 2005)—when the District signed the Consent Decree (of which fact Century wasn't aware until 2008)—the May 31, 2001 letter does not support a claim of waiver”).

Plaintiff further argues that after Embee sought coverage under the Blank Excess Policies in 2011, Fireman’s Fund’s alleged “failure to affirm or deny coverage in 2011 and 2012 is a denial of coverage” and that such denial supports a finding of waiver of the NVP provision. Opp. (ROA 2026) 12:15-16; see also id. at 11:21-23 (“This denial of coverage in 2011 was a second denial of coverage which freed Embee, yet again, to sign the Consent Agreement on November 14, 2012, without losing insurance coverage.”). Plaintiff again failed to present any evidence that Fireman’s Fund’s alleged failure to affirm or deny coverage under the Blanket Excess Policies constitutes a waiver of the NVP provision. In addition, as stated above, this court (Judge Lon F. Hurwitz) has already found there was no duty to indemnify or defend Embee in the DTSC Proceeding under the Blanket Excess Policies. 9/13/23 Statement of Decision (ROA 1761) at 38-39.

Embee argues Fireman’s Fund waived the applicability of the NVP provision when Fireman’s Fund paid for some of the DTSC costs in 2016 to 2022. Embee contends it relied on Fireman’s Fund’s conduct to believe that “Embee could incur costs and be reimbursed for them without being accused of making a ‘voluntary payment.’” Per the August 4, 2014 letter from Fireman’s Fund, defendant agreed “to provide a defense of the DTSC claims to Embee under the Umbrella

		Policies while FFIC continues to investigate this matter pursuant to a reservation of its rights under the Umbrella Policies and applicable law.” Markos Decl. (ROA 1966) Ex. P (at 11). The letter further states, “FFIC's investigation, defense, negotiation, settlement, or any other acts or inaction of FFIC in regard to the tendered DTSC claims shall not be construed as a waiver of any of FFIC's rights under the Umbrella Policies or applicable law nor as an admission of any obligation thereunder. FFIC's agreement to provide a defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred. be construed as a waiver of any of FFIC’s rights under the Umbrella Policies or applicable law nor as an admission of any obligation thereunder. FFIC’s agreement to provide a defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred.” Id. As Fireman’s Fund had agreed to defend Embee in the DTSC claims subject to a reservation of rights, Fireman’s Fund’s payment of some of the defense costs was consistent with its coverage position. Notwithstanding the unambiguous language of Fireman’s Fund’s August 4, 2014 letter regarding its acceptance of the defense in the DTSC claims subject to a reservation of rights, there is no evidence demonstrating that Fireman’s Fund ever made any intentional relinquishment of their coverage defenses at any point. See <i>Ringler Associates Inc. v. Maryland Cas. Co.</i> (2000) 80 Cal.App.4th 1165, 1189 (“[T]here is no evidence respondents ever made any intentional relinquishment of their coverage defenses at any point, despite initially accepting Ringler's tender of defense and funding that defense for two years. There is therefore no evidentiary basis for any claim of waiver.”). To the extent Embee is contending that Fireman’s Fund is estopped from applying the NVP provision because of its payment of some costs in the DTSC Proceeding, the court does not find that argument persuasive. “The elements of the [equitable estoppel] doctrine are that: (1) the party to be estopped must be apprised of the facts; (2) he [or she] must intend that his [or her] conduct shall be acted upon, or must so act that the party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true state of facts; and (4) he [or she] must rely upon the conduct to his injury. [Citation.]” (<i>Strong v. County of Santa Cruz</i> (1975) 15 Cal.3d 720, 725 [125 Cal.Rptr. 896, 543 P.2d 264].) The party asserting the estoppel defense bears the burden of proving its application. (<i>Busching v. Superior Court</i> (1974) 12 Cal.3d 44, 53 [115 Cal.Rptr. 241, 524 P.2d 369].) Further, estoppel is shown only if the detrimental reliance was reasonable. [Citation.]” <i>Santa Clara Valley Water Dist.</i>, supra, 89 Cal.App.5th at 1052–53. Plaintiff presents no evidence establishing any of these elements. Accordingly, defendant has met its burden in establishing there are no triable issues of fact as to Embee’s claim for breach of duty to defend
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		under the Primary Policy is barred by the NVP provision and plaintiff failed to raise any triable issues of material facts. 2. Blanket Excess Policies The Blanket Excess Policies contain the following provision: “The insured shall cooperate with the primary insurers as required by the terms of the primary policies and comply with all terms and conditions thereof[.]” UMF 7. The primary policy that was in effect at the time of the Blanket Excess Policies was a policy issued by Safeco Insurance Company (“Safeco”) Policy No. SCC 835-175, for the period of April 1, 1979 until cancellation. UMF 3. The Safeco Policy contains the following provision: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any expense other than for first aid to others at the time of accident.” UMF 4. For the same reasons set forth above, the NVP provision in the Safeco Policy is enforceable and thus, bars Embee’s claim for breach of duty to defend under the Blanket Excess Policies in the OCWD action. Embee argues that “the defense of the [OCWD] lawsuit and the defense of the DTSC matter were inextricably intertwined,” the outstanding defense costs were incurred in the OCWD lawsuit, and thus, Fireman’s Fund “has a duty to defend the OCWD Lawsuit.” Opp. (ROA 2026) 15:2-10. While it is true that site investigation costs can in certain situations constitute defense costs that are included in the insurer’s duty to defend pursuant to <i>Aerojet-General Corp. v. Transport Indemnity Co.</i> (1997) 17 Cal.4th 38, plaintiff has not established the requisite factors set forth in <i>Aerojet</i>: “First, the site investigation must be conducted within the temporal limits of the insurer's duty to defend, i.e., between tender of the defense and conclusion of the action. Second, the site investigation must amount to a reasonable and necessary effort to avoid or at least minimize liability. Third and final, the site investigation expenses must be reasonable and necessary for that purpose.” <i>Id.</i> at 61. Neither the opposition nor plaintiff’s Separate Statement in Support of Opposition to the Motion for Summary Judgment does plaintiff identify the evidence, i.e., the material facts, supporting its contention that the incurred site investigation costs could be deemed as defense costs that are included in Fireman’s Fund’s duty to defend Embee in the OCWD action. Embee presents no evidence supporting its position that the defense of the OCWD action and the DTSC Proceedings were “inextricably intertwined,” or that the defense costs at issue are in fact defense costs incurred in the OCWD action. Moreover, Embee does not dispute the material facts that all of the defense costs in the OCWD Action have been paid by Fireman’s Fund (and other insurance companies) (UMF 24 and 25) and that none of the activities performed by Stantec since 2017 that are the subject of the outstanding invoices alleged in the
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	operative fourth amended complaint are in fact related to the OCWD Action. UMF 28. In sum, Fireman’s Fund has met its burden of establishing there are no triable issues of fact regarding: (1) Fireman’s Fund’s lack of duty to indemnify and duty to defend under the Primary Policy in the DTSC Proceeding; and (2) Fireman’s Fund’s lack of duty to indemnify and duty to defend under the Blanket Excess Policies in the DTSC Proceedings. Fireman’s Fund also met its burden of establishing there are no triable issues of fact that Fireman’s Fund did not breach its duty to indemnify under the Primary Policy and the Blanket Excess Policies in the OCWD Action. Fireman’s Fund also met its burden of demonstrating there are no triable issues of fact that Embee’s claim for defense costs under the Primary Policy and the Blanket Excess Policies is barred by the applicable NVP provisions. Where a plaintiff “has no viable breach of contract claim against [defendant]... his claim for bad faith denial of insurance benefits fails as a matter of law.” Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1470. As plaintiff’s breach of contract claim fails, the second cause of action for breach of the covenant of good faith and fair dealing also fails as a matter of law. Accordingly, summary judgment in favor of Fireman’s Fund is granted. Defendant’s Request for Judicial Notice (ROA 2014) is denied as the document was not material to the disposition of the motion. The court rules on defendant’s evidentiary objections (ROA 2041) as follows: Objection Nos. 16 through 20 (portions of the December 28, 2024 Declaration of Angus McGrath): Sustained as the court previously sustained them in the 5/22/25 order denying plaintiff’s motion for summary adjudication (ROA 1916). Objection No. 21 – Sustained; Objection No. 22 – Overruled; Objection No. 23 – Overruled; Objection No. 24 – Overruled; Objection No. 25 – Overruled. The remainder of defendant’s objections were not material to the disposition of the motion. Plaintiff Embee to give notice.
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112	Fosamax/Alendronate Sodium Drug Cases JCCP 4644	Motion to Establish the Settlement Fund and to Appoint Administrator A Consent Motion to Establish the Fosamax III Qualified Settlement Fund and to Appoint Administrator has been filed by Steven J. Skikos, Esq. and Daniel S. Robinson, Esq., as Lead Counsel for Plaintiffs. (ROA #8842.) The motions seek an order (1) establishing a qualified settlement fund pursuant to Internal Revenue Code section 468B and 26 C.F.R. § 1.468B-1, to be called the “Fosamax II Qualified Settlement Fund” (the “Fund”) and (2) appointing Edgar C. Gentle, III as the Claims Administrator, Lien Administrator, and Fund Administrator for the Fund. A proposed order has been submitted at ROA #8834. The Court has reviewed the moving papers and has the following concerns: 1. Plaintiffs and Defendants agree that their settlement and settlement agreement shall remain confidential. Accordingly, the settlement agreement has not been submitted for review by the Court. As the motion and proposed order both include a lot of details about the fund and its management, the Court must review the settlement agreement to ensure that there are no terms or conditions that would (a) conflict with the terms of the detailed proposed order sought by moving counsel and/or (b) undermine the purposes of Internal Revenue Code section 468B or 26 C.F.R. § 1.468B-1 in permitting the establishment of qualified settlement funds. Counsel may submit the settlement agreement to the Court for in camera review. 2. The motion is not supported by any sworn declarations or competent evidence, including on Mr. Gentle’s qualifications to serve as the Claims, Lien, and Fund Administrator. The motion simply states: “Plaintiffs’ Counsel named in the Agreements request that the Court approve the engagement and appointment of attorney Edgar C. Gentle, III as the Administrator. The Administrator possesses extensive experience in administering Qualified Settlement Funds, and in serving as Claims Administrator, Lien Administrator, and Fund Administrator. His firm address is as follows: Gentle, Turner, & Benson, LLC, 501 Riverchase Parkway East, Suite 100, Hoover, Alabama 35244. The Administrator submits personally to the jurisdiction of this Court.” Likewise, there is no information on Huntington National Bank. <i>There is also no information regarding the fee arrangement other than stating it is “to be negotiated.”</i> 3. The motion at ¶ 15 and proposed order at ¶ 6 contemplate that the Fund may have an “investment advisor” but nowhere does the motion or proposed order include any guidelines on the selection and hiring of such an advisor.
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In contrast, for example, the motion at ¶ 10 provides that “[t]he Fund, by and through the Administrator, may purchase and assign any structured settlements created under any settlement Agreements and releases. Any structured settlement annuity contract shall be issued by a life insurance company that is rated A+ or better by A.M. Best Company.”

4. The motion at ¶ 11 provides that “[t]he Plaintiffs shall agree in writing to a discharge of the Fund and the Administrator’s liabilities in the making of any structured settlement payments, also known as periodic payments, by executing, along with the Administrator, any necessary documents required or related to the discharge of those liabilities.” But there are no limitations to this “discharge of the Fund and the Administrator’s liabilities.” But what if the Administrator acts with gross negligence or willful misconduct in carrying out these duties?

This is in contrast to ¶ 13 of the motion, which provides: “The Administrator shall be indemnified and held harmless by the Plaintiffs from any claims made by any alleged lienholder, or other person or entity that attempts to assert a right of payment, reimbursement or garnishment related to the Plaintiffs against the Fund. Should the Administrator be named as a party to, or threatened to be made a party to, any threatened, pending or completed action, suit or proceeding of any kind, whether civil, administrative or arbitral, and whether brought by or against or otherwise involving the Fund, by reason of the Administrator having served in any capacity on behalf of the Fund, the Administrator shall be indemnified and held harmless by the Plaintiffs against reasonable expenses, costs and fees (including attorney fees), judgments, awards, costs, amounts paid in settlement, and liabilities of all kinds incurred by the Administrator in connection with or resulting from such actual or threatened action, suit or proceeding; *except to the extent that it is finally determined by this Court that the Administrator was negligent or acted with willful misconduct in connection with the administration of this Fund.*” (Emphasis added.)

The motion at ¶ 14 also provides: “Plaintiffs’ Counsel shall be indemnified and held harmless by the Administrator from any claims *which arise from the negligence or willful misconduct of the Administrator as determined by this Court.* Should Plaintiffs’ Counsel be named as a party to, or threatened to be made a party to, any threatened, pending or complete action, suit or proceeding of any kind, whether civil, administrative or arbitral, *by reason of the Administrator’s negligence or willful misconduct,* Plaintiffs’ Counsel shall be indemnified and held harmless by the Administrator against

		reasonable expenses, costs and fees (including attorney fees), judgments, awards, costs, amounts paid in settlement, and liabilities of all kinds incurred by Plaintiffs’ Counsel in connection with or resulting from such actual or threatened action, suit, or proceeding. Plaintiffs’ Counsel agrees to indemnify Defendants for any claims asserted against Defendants (including any request for indemnification by Administrator) in connection with the acts or omissions of the Administrator.” (Emphases added.) Also, the motion at ¶ 6 on page 10 and the proposed order at ¶ 7 provide: “To the extent of this Court’s personal and subject matter jurisdiction, Mr. Gentle and his employees and agents are immune from personal liability in the execution of their duties with respect to the performance of the action described in this Motion and in the Approval Order, <i>except for fraud, gross negligence, or disobedience of any Order of this Court.</i>” (Emphasis added.) 5. The motion at ¶ 15 also requests that “no bond be required of the Administrator, <i>provided</i> all monies received by the Fund, which includes all principal and interest earned thereon, shall be deposited in an investment agency account held by the Fund for the benefit of and titled in the legal name of the Fund and invested in instruments/securities comprised of (a) United States Agency, Government Sponsored Enterprises or Treasury securities or obligations (or a mutual fund invested solely in such instruments); (b) cash equivalent securities including SEC registered money market funds and/or collateralized money market accounts; and/or (c) deposit and similar interest-bearing, or non-interest-bearing accounts subject to Federal Depository Insurance Corporation protections as available.” (Emphasis added.) But who will monitor the Fund to ensure that all monies received by the Fund are so deposited? Accordingly, the Court is inclined to CONTINUE the motion to October 7, 2026, at 2PM in Department CX102 so that moving counsel may address the Court’s concerns, including by amending the motion, submitting the applicable settlement agreement(s) for in camera review by the Court, and submitting competent evidence in support of the motion. <i>The Court is mindful that the applicable settlement funding deadline could occur by 10/18/2026.</i> The Court will hear from counsel at the hearing.
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